

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

VISUAL COMFORT & Co., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD, *Respondent*.

DOCKET NO. 24-01

Served: January 24, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

ORDER GRANTING COMPLAINANT’S SECOND MOTION TO COMPEL IN PART

On October 12, 2024, Complainant filed Complainant’s Second Motion to Compel (“Second CMTC”) seeking the production of documents, as well as a 30(b)(6)¹ witness who is adequately prepared to testify regarding select topics. In general, Complainant argues that Mr. Thomas Takase’s deposition testimony demonstrated that Respondent failed to perform an adequate search for documents that were potentially responsive to Complainant’s document requests. Complainant also argues that Mr. Takase did not prepare adequately for several topics that were set forth in Complainant’s 30(b)(6) notice.

For the reasons discussed below, no later than ***February 7, 2025***, Respondent is **ORDERED** to file an affidavit² of a knowledgeable witness who can: 1) describe what SHAPerDiem@conscon.com, perdiem_CDS@coscon.com, and perdiem@cosco-usa.com are, and/or do (i.e., are they distribution lists, or do they store emails, or both?); 2) to the extent SHAPerDiem@conscon.com, perdiem_CDS@coscon.com, perdiem@cosco-usa.com are distribution lists, identify all locations to which emails or other electronic messages sent to said addresses are distributed, and verify that the distribution locations have been electronically searched; 3) identify all searches Respondent performed for documents responsive to RFP6 and SRFP5 (defined below); 4) identify the search terms used when performing searches described in 2) or 3) above, and 5) describe generally any documents responsive to RFP6 and SRPF5 that have not yet been produced to Complainant.

¹ Rule 30(b)(6) of the Federal Rules of Civil Procedure allow for a party to depose an organization. The comparable Commission Rule is found at 46 C.F.R. § 502.143(b)(6). Because the deposition notice was entitled “Notice of Rule 30(b)(6) Deposition[,]” I will refer to this as a “30(b)(6)” deposition.

² I will also accept a declaration pursuant to 28 U.S.C. § 1746.

Further, no later than **February 7, 2025**, Respondent is also **ORDERED** to produce any documents responsive to RFP6 or SRFP5 that have not yet been produced to Complainant.

I will decide the remaining requests in the Second CMTC at a future time.

I. BACKGROUND

On May 31, 2024, Complainant filed Complainant's First Motion to Compel Production of Documents ("First CMTC"). Among other things, Complainant requested production of documents responsive to Request for Documents No. 6 ("RFP6"), and Supplemental Request for Documents No. 5 ("SRFP5"). RFP6 states:

Produce all correspondence to or from Respondent and the parties identified in Claimant's and Respondent's Initial Disclosures during the relevant time period related to: (1) the number of "free days" offered to shippers and their freight forwarders in light of port congestion; (2) lack of return locations for empty containers; (3) delays clearing empty containers; (4) redirecting traffic to less congested ports; (5) whether terminals should remain designated as "open for returns," and; (6) the decision to continue to accept goods for receipt handling storage or deliver while [t]here was insufficient space in port(s).

In addition, SRFP5 states: "Produce all correspondence between Respondent and Complainant or RIM Logistics, Ltd. relating to demurrage, detention, per diem, and yard storage, including but not limited to free time, port congestion, equipment shortages, lack of appointments for container pick-ups and returns, return capacity at terminals, and restricted access to terminals." (First CMTC, at 3, 6).

On July 31, 2024, Judge Crovella, to whom this matter was originally assigned, issued a Memorandum Order on Motions to Compel (the "July 31 Order"). Regarding First CMTC, the July 31 Order noted that RFP6 and SRFP5 overlapped, and ordered Respondent to produce documents by August 14, 2024. (July 31 Order, at 2-3).

On September 12, 2024, Complainant sent a Notice of 30(b)(6) Deposition to Respondent. (Oliver Decl., Ex. 9). Schedule A sets forth ten topics. (*Id.*, at Schedule A). For present purposes, the most relevant one is Topic 10: "COSCO's practices, processes, and policies regarding the retention, collection, and production of documents for this litigation." (*Id.*).

The deposition of Mr. Thomas Takase, Respondent's 30(b)(6) deposition witness, occurred on October 9, 2024. (Oliver Decl., Ex. 5). When asked if he was prepared to testify regarding Respondent's practices regarding collection or production of documents for this case, Mr. Takase testified that he was not. (*Id.*, at 24-25). When asked if emails from shaperdiem@coscon.com were collected, he responded that he was not sure, but assumed that they were. (*Id.* at 28).

When the deposition ended for the day, the Complainant's attorney stated on the record that Complainant did not believe the witness was adequately prepared to testify regarding six deposition topics, including topic 10. (Oliver Dep., Ex. 5, at 160-64). In addition, Complainant's

attorney made several document requests on the record, which Complainant's attorney agreed to send in writing. (*Id.* at 158-60, 166).

On October 10, 2024, Complainant's attorney sent an email to Respondent's counsel with the following document requests:

1. Please collect and search the email accounts SHAPerDiem@conscon.com, perdiem_CDS@coscon.com, perdiem@cosco-usa.com for communications and documents (a) from RIM Logistics, Inc., and (b) related to the container numbers on VCC000005 during the relevant time period.
2. Please produce [select documents] that include any terms related to accessorial charges or free days (other than the standard rates and free days in COSCO's published tariffs).
3. Please produce all internal email correspondence and documents relating to (a) RIM Logistics, Inc., and (b) the container numbers on VCC000005, including but not limited to searching the email accounts for Tom Takase, Phil Taylor, and Chris Smith.
4. Please produce all written policies and procedures related to setting per diem, detention, demurrage, and storage rates (a) via general tariff or (b) for [select] accounts, including but not limited to searching the relevant custodians in Shanghai.
5. Please produce all correspondence and written policies related to the procedures for the handling of disputes related to per diem, detention, demurrage, and storage charges.
6. Please apply previously agreed upon search terms to additional custodians who have relevant and responsive documents, including SHAPerDiem@conscon.com, Tom Takase, Phil Taylor, James Houghtalin, Paulina Wang, perdiem_CDS@coscon.com, perdiem@cosco-usa.com, and Chris Smith.

(Oliver Decl., Ex. 7).

On October 16, 2024, Complainant filed Complainant's Second Motion to Compel ("Second CMTC"), in which it argues that Respondent's 30(b)(6) witness was inadequately prepared, and Respondent failed to search adequately for documents responsive to its document requests, RFP6 and SRFP5, and that either the discovery period should be extended, or adverse inferences should be drawn from Respondent's failures. (*See generally* Second CMTC).

Respondent responded to the Second CMTC on October 23, 2024, arguing that the Complainant's motion was meritless. (*See generally* Respondent's Response to Complainant's Second Motion to Compel Discovery and Motion to Extend Page Limits ("Second CMTC Response")). In particular, Respondent wrote: "Further, when asked whether he knew whether the shaperdiem@coscon.com e-mail address was collected for purposes of this litigation, Mr.

Takase testified (and Complainant struthiously ignores) that COSCO searched that email address in accordance with Complainant's search terms and all responsive documents were produced to Complainant.” (Second CMTC Response, at 9).

On December 9, 2024, the matter was reassigned to the undersigned. (*See* Notice of Reassignment). On December 19, 2024, I required a Joint Status Report to be filed December 30, 2024, regarding what remained to be decided from the Second CMTC. (*See* Order Requiring a Joint Status Report (“December 19 Order”)).

On December 30, 2024, the parties filed a consent motion to extend time to file a joint status report, which I granted. On December 31, 2024, rather than file a joint status report, as ordered, the parties filed separate status reports. (*See* Complainant’s Status Report and Status Report – Respondent’s Position). Despite being filed in contradiction of my order, I reviewed and considered the status reports.

In its status report, Respondent stated the following:

As Complainant certainly knows by now, shaperdiem@coscon.com is *not* a document repository. Rather, it is merely a lengthy list of email addresses and serves to distribute complaints to the appropriate COSCO office reflecting the geographic location of the complaint. That is, complaints about shipments to North America would be distributed to a North American office, not to an office in Australia, Europe, South America, or Africa.

Although shaperdiem@coscon.com is not itself searchable, Respondent did effectively do so. More specifically, Respondent searched every relevant location to which a complaint by RIM or VCC might have been distributed. This would have included what came into and out of Shaperdiem, among other things. As part of Complainant’s supplemental requests, Respondent also searched perdiem_CDS@coscon.com, and perdiem@cosco-usa.com, despite Complainant’s tired canard to the contrary. Thus, Complainant’s statement that COSCO “has not searched the email addresses perdiem_CDS@coscon.com, and perdiem@cosco-usa.com” is patently false, and Complainant knows it is false.

(Status Report – Respondent’s Position, at 5-6).

Complainant asserts in its status report that the untimely nature of Respondent’s responses deprived it of its opportunity to refine its search terms. (Complainant’s Status Report, at 4).

It appears that on at least some of Respondent’s invoices and communications during the relevant time period, shaperdiem@coscon.com is referenced as a point of contact for raising disputes. (*See* Oliver Decl., Ex. 6; *see also* Complainant’s Reply Appendix, CRX16³). In

³ Respondent moved to strike Complainant’s Reply Appendix. (*See* Motion to Strike and for Leave to File a Surreply). That motion will be addressed in the future.

addition, perdiem_CDS@coscon.com and perdiem@cosco-usa.com appears in documents Respondent produced. (Oliver Decl., Ex. 3).

II. ANALYSIS

I limit my analysis and discussion of the Second CMTC to Topic 10 of Complainant's 30(b)(6) notice, as well as documents responsive to RFP6 and SRFP5, because they are potentially highly relevant to the ultimate resolution of this matter.

Complainant alleges that it was required to pay unjust and unreasonable detention and demurrage fees, and that Respondent failed or refused to negotiate regarding its unreasonable fees. (*See generally* Amended Complaint). There appear to be no communications directly between the parties regarding the detention and demurrage fees that the Respondent allegedly imposed. Complainant admits it never directly requested free time from Respondent, nor did it use Respondent's process for disputing detention or demurrage, but asserts its NVOCCs, like RIM Logistics, did on its behalf. (Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests (Complainant's Supplement Responses, at 4)). Therefore, communications between Complainant's NVOCCs and Respondent – or lack thereof – are potentially highly relevant to the ultimate outcome of this case.

Complainant's RFP6 and SRFP5 seek communications between Complainant's NVOCCs and Respondent. These are potentially highly relevant to the outcome of this case. Indeed, Judge Crovella recognized the same. (July 31 Order, at 2-3).

At this time, it is unclear whether Respondent has adequately searched for documents responsive to RFP6 and SRFP5.

Mr. Takase was designated as the 30(b)(6) witness of the Respondent. Therefore, the Respondent was obliged to prepare him to testify regarding information reasonably available to the Respondent. (46 C.F.R. § 502.143(b)(6) (“The persons designated must testify about information known or reasonably available to the organization.”); *see also Bigsby v. Barclays Capital Real Estate, Inc.*, 329 F.R.D. 78, 81 (S.D.N.Y. 2019) (citations omitted) (“The organization ‘must prepare the designee to the extent matters are reasonably available, whether from documents, past employees, or other sources.’”); *Prasad v. George Washington Univ.*, 325 F.R.D. 1, 6 (D.D.C. 2018) (“Rule 30(b)(6) requires an organization to identify a person knowledgeable on a noticed topic and to prepare that person to testify as to that topic, thus binding the entity[.]”)).

Mr. Takase testified, however, that he was unprepared to testify regarding Topic 10. (Oliver Decl., Ex. 5, at 24-25). When asked a specific question about an email address on at least some of Respondent's invoices during the relevant time period, shaperdiem@coscon.com, Mr. Takase was unsure of whether such a collection occurred. (*See* Oliver Decl., Ex 6; Complainant's Reply Appendix, CRX16; *see also* Oliver Decl., Ex. 5, at 28).

Accordingly, it is unknown what Respondent searched in response to RFP6 and SRFP5.

It is also unclear whether Respondent stores emails or other electronic documents in shaperdiem@coscon.com. On the one hand, Respondent represented that

shaperdiem@coscon.com is an email address that is able to be searched. (Second CMTC Response, at 9 (“Further, when asked whether he knew whether the shaperdiem@coscon.com e-mail address was collected for purposes of this litigation, Mr. Takase testified (and Complainant struthiously ignores) that COSCO searched that email address in accordance with Complainant's search terms and all responsive documents were produced to Complainant.”)). On the other hand, Respondent represents that shaperdiem@coscon.com is a distribution list, and that the locations to which emails or other electronic messages to shaperdiem@coscon.com have already been searched. (Status Report – Respondent’s Position, at 5-6). Respondent, however, does not identify where such emails or electronic messages are distributed. (*Id.*).

Because of Respondent’s inconsistent positions, and because Respondent failed to prepare properly a 30(b)(6) witness on the topic of Respondent’s collection and production for purposes of this litigation, Respondent will be ordered below to produce an affidavit of a knowledgeable witness who can describe accurately and with particularity whether SHAPerDiem@conscon.com, perdiem_CDS@coscon.com, perdiem@cosco-usa.com are email addresses that store documents, or are distribution lists, or both. To the extent these email addresses function as distribution lists, Respondent’s witness will be required to identify specifically all of the email addresses or other locations to which emails or electronic messages were distributed, and verify that the distribution locations were also searched. Further, Respondent’s witness will be required to identify the search terms used. Finally, the witness will need to describe generally documents responsive to RFP6 and SRFP5 that have not been produced to Complainant, and produce the same.

Respondent will have two weeks to provide the ordered information and produce any documents. Respondent was ordered to produce documents responsive to RFP6 and SRFP5 on July 31. Respondent has had more than ample time to produce these documents, and provide information related to their collection. An extension will not be granted barring extraordinary circumstances. Failure to respond timely may result in adverse consequences to Respondent.

At this time, I do not address Complainant’s other requests in its Second Motion to compel. Complainant represents that all of the document requests of October 10, 2024, are essentially clarifications of RFP6 and SRFP5. (Second CMTC, 12-13). I disagree in part. While some of the October 10, 2024, document requests ask Respondent to search for relevant communication in specific locations, other requests from October 10, 2024 – such as requests for the production of certain documents with specific terms, or for Respondent’s internal communications, or Respondent’s written policies, or that certain custodians be searched (unless the custodian is identified as a distribution location in response to this Order) – do not involve communications between Complainant and/or its NVOCCs and Respondent. Similarly, deposition topics other than Topic 10 relate to Respondent’s revenue and profits, or Respondent’s policies and procedures. (*See* Oliver Decl., Ex. 9, at Schedule A). Those topics do not focus on communications between the parties and/or their representatives.

In addition, I do not address Complainant’s assertion that it was deprived of its ability to refine search terms at this time.

I will issue further orders as necessary after I review Respondent’s affidavit.

III. ORDER

It is **HEREBY ORDERED** that Complainant's Second Motion to Compel is **GRANTED IN PART**. It is

FURTHER ORDERED that no later than February 7, 2025, Respondent shall file an affidavit from a knowledgeable witness who can: 1) describe what SHAPerDiem@conscon.com, perdiem_CDS@coscon.com, and perdiem@cosco-usa.com are, and/or do (i.e., are they distribution lists, or do they store emails, or both?); 2) to the extent SHAPerDiem@conscon.com, perdiem_CDS@coscon.com, perdiem@cosco-usa.com are distribution lists, identify all locations to which emails or other electronic messages sent to said addresses are distributed, and verify that the distribution locations have been electronically searched; 3) identify all searches Respondent performed for documents responsive to RFP6 and SRFP5; 4) identify the search terms used when performing searches described in 2) or 3) above; and 5) describe generally any documents responsive to RFP6 and SRFP5 that have not yet been produced to Complainant. It is

FURTHER ORDERED that no later than February 7, 2025, Respondent is to produce any documents responsive to RFP6 or SRFP5 that have not yet been produced to Complainant. It is

FURTHER ORDERED that the remaining portions of Complainant's Second Motion to Compel will be decided at a future time.

Richard C.
Ambrow Jr - S
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Richard C. Ambrow Jr
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Richard Ambrow
Administrative Law Judge